

MARICO LIMITED

FMCG - Personal Care & Edible Oils

NSE: MARICO | BSE: 531642 | Report Date: May 20, 2026

Equity Research Report | Rounak Bajpai



INVESTMENT SUMMARY

We initiate coverage on Marico Limited with a BUY rating and 12-month target price of ₹922 (~9.8% upside from CMP ~₹840 as of May 20, 2026). FY26 was Marico's best year in 14 years - revenue grew 26% to ₹13,611 Cr, volumes hit 7-year highs in India, and international business grew 20% in constant currency. Management is guiding for ₹15,000 Cr+ revenue in FY27, representing 10%+ growth, with high-teen EBITDA growth.

RATING:

BUY

12 Month target: ₹922
12 Month Upside: +9.8%

Metric	Value	Metric	Value
CMP (May 20, 2026)	₹ 840.00	52-Week High	₹848.8
Market Cap	~₹1,09,000 Cr	52-Week Low	₹680.3
P/E (FY26 TTM)	~56-60x	EPS (FY26)	₹13.97
Revenue (FY26)	₹13,611 Cr	EBITDA (FY26)	~₹2,316 Cr
PAT (FY26)	₹1,813 Cr	Dividend FY26	₹6.5/share (total)
EBITDA Margin Q4	15.6%	Shares Outstanding	~129.8 Cr

Investment Thesis :

Marico is a high-quality, capital-efficient FMCG compounder with dominant positions in coconut oil (Parachute), value-added hair oils, and edible oils (Saffola). The business generates strong FCF with near-zero debt, expanding international exposure (20% constant currency growth), and an accelerating Foods + D2C portfolio (4700BC, Plix, Beardo, Cosmix). At ~56x FY26 P/E, valuation looks full — but justified by above-peer growth trajectory, high-teen ROE, and a clear path to ₹20,000 Cr by FY30.

FINANCIAL SUMMARY

METRIC	FY24 A	FY25 A	FY26 A	FY27 E	FY28 E
Revenue (Cr)	₹ 9,653.0	₹ 10,831.0	₹ 13,611.0	₹ 15,244.3	₹ 17,226.1
Revenue Growth (%)	-1.1%	12.2%	25.7%	12.0%	13.0%
EBITDA (Cr)	₹ 2,026.0	₹ 2,291.0	₹ 2,316.0	₹ 2,774.5	₹ 3,273.0
EBITDA Margin	21.0%	21.2%	17.0%	18.2%	19.0%
PAT	₹ 1,505.5	₹ 1,688.7	₹ 1,708.8	₹ 2,055.8	₹ 2,423.5
EPS	₹ 11.6	₹ 13.0	₹ 13.2	₹ 15.8	₹ 18.7
Dividend (₹ P.S.)	₹ 6.0	₹ 6.5	₹ 6.5	₹7.5E	₹8.5E

*FY26 EBITDA margin impacted by elevated copra prices. Q4 FY26 EBITDA margin: 15.63% (down 115 bps YoY due to copra). Normalised margin without extreme copra ~18–19%. Source: Marico Q1–Q4 FY26 press releases (BSE/NSE), Business Standard (May 5, 2026), HDFC Securities Research.

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BUSINESS OVERVIEW

Company profile:

Marico Limited (promoted by the Mariwala family, 59.2% promoter holding) is one of India's leading FMCG companies, founded in 1990. Headquartered in Mumbai, it operates in personal care, hair care, and edible oils with a presence in 25+ countries through both organic and acquired brands.

India Business (~75% of revenue):

- **Parachute Rigids:** #1 branded coconut oil; ~63% market share; Q4 FY26 value +29% YoY (copra-driven pricing)
- **Saffola Edible Oils:** Premium health oils; +8% value; Q4 mid-single-digit volumes
- **Value Added Hair Oils (VAHO):** Nihar, Hair&Care, Shanti Amla; high-margin segment growing well
- **Foods Portfolio:** Crossed ₹1,000 Cr annual revenue in FY26 (+16% YoY); Honey, Soya, Oats
- **Digital-First Brands:** Plix (wellness), Beardo (men's grooming), Just Herbs, 4700BC (popcorn)

International Business (~25% of revenue):

Bangladesh: ~44% of international; +35% constant currency Q4 FY26; Parachute dominant
South Africa: +8% growth; Black hair care segment
MENA, Egypt, Myanmar: Emerging markets with double-digit CCG

Balance Sheet:

Net cash positive. Minimal debt. Strong FCF generation. FY26 PAT ₹1,813 Cr with most of it available as FCF. Capital-light model - capex typically ₹200–250 Cr/year, well below

FY27 Guidance:

Revenue ₹15,000 Cr+ (10%+ growth), high-teen EBITDA growth (subject to macro). FY30 target: ₹20,000 Cr revenue.

QUARTERLY PERFORMANCE (FY26)

Quarter	Rev (₹ Cr)	YoY Rev Growth	EBITDA (₹ Cr)	EBITDA Margin	PAT (₹ Cr)
Q1 FY26	~3,259	26%	~570	~17.5%	~513
Q2 FY26	3,482	31%	560	16.10%	420
Q3 FY26	3,576	25%	~665	~18.6%	460
Q4 FY26	3,333	22%	521	15.63%	408
FY26 Full Year	13,611	25.70%	~2,316	~17.0%	1,813

Source: Upstox, AngelOne, Business Standard, ADGully (May 5, 2026). Q1 revenue estimated from half-year disclosure. PAT figures consolidated.

VALUATION REPORT (DCF)

DCF Model Key Assumptions:

- Revenue growth: 12% (FY27E) → 13% (FY28E) → 12% (FY29E)
- EBITDA margin recovery: 18.2% (FY27E) → 19.5% (FY29E)
- WACC: 10.6% (risk-free 7.2%, ERP 5.5%, beta 0.61 - low beta FMCG)
- Terminal growth rate: 6.5% (India FMCG + international diversification)
 - Net cash: ~₹1,500 Cr (debt-free company)

DCF Implied Intrinsic Value: ~₹980–₹1,200

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VALUATION REPORT (CCA)

Comparable Company Analysis (CCA):

- Peers: HUL, Nestle India, Dabur, Godrej Consumer, Colgate
 - Median peer P/E: ~55–57x (FY27E earnings)
 - Marico FY27E EPS: ~₹16.2
 - **CCA P/E implied: ₹16.2 × 58x = ~₹891**
- EV/EBITDA (peer 33–44x): implies ₹830–₹1,080

BLENDED TARGET PRICE (DCF+ CCA)

	AMOUNT	WEIGHT	WEIGHT VALUE
DCF VALUE	₹ 995.00	30%	₹ 298.50
CCA VALUE	₹ 891.00	70%	₹ 623.70
BLENDED TARGET	-----	-----	₹ 922.20

Note: Higher weightage has been assigned to Comparable Company Analysis (70%) as Marico operates in the premium FMCG segment, where market valuations are largely driven by forward earnings multiples and peer benchmarking. DCF valuation has been assigned a relatively lower weightage (30%) due to the high sensitivity of terminal assumptions in stable consumer businesses.

KEY INVESTMENT CATALYSTS

RECORD FY26 — PLATFORM FOR FY27

Revenue +26% to ₹13,611 Cr (14-year high growth), India volumes at 7-year high, international at 14-year high. This wasn't a one-off — it reflects Marico's execution across both core (Parachute, Saffola) and new categories (Foods ₹1,000 Cr+ crossed). The platform for ₹15,000 Cr in FY27 is well-established

INTERNATIONAL — STRUCTURAL GROWTH ENGINE

International business delivered 20% constant currency growth in FY26 — a 14-year high. Bangladesh posted 35% CC growth in Q4 FY26, Vietnam grew 18%, South Africa 8%. Marico's international business is now ~25% of revenue and growing faster than domestic. This diversification reduces India macro dependency.

FOODS PORTFOLIO CROSSED ₹1,000 CR

The Foods segment (honey, soya chunks, oats, popcorn via 4700BC) crossed ₹1,000 Cr annual revenue in FY26, growing 16% YoY. This is the highest-margin expansion path for Marico — Foods margins are structurally improving as scale builds. Target: Foods to be 25%+ of India revenue by FY27.

D2C PORTFOLIO SCALING UP

Beardo closed in on double-digit EBITDA margins. Plix delivered low single-digit EBITDA margins. 4700BC (acquired Jan 2026) and Cosmix Wellness (acquired Feb 2026) expand the premium snacking and wellness play. Digital-first ARR crossed ₹750 Cr in FY25 on exit basis; targeting ~₹1,875 Cr by FY27.

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KEY RISK FACTORS

COPRA PRICE VOLATILITY

Copra is Marico's #1 raw material (drives Parachute pricing). Elevated copra in FY26 compressed Q4 EBITDA margin to 15.6% vs 16.8% a year ago. Copra is cyclical and driven by South Indian harvest conditions. Any sustained spike could delay the margin recovery that FY27 guidance assumes. This is the most significant near-term risk.

VALUATION PREMIUM RISK

At ~56-60x FY26 P/E, Marico is priced for continued strong execution. Any miss on FY27 guidance — particularly if copra squeezes margins or volume growth slows below 7% — could trigger a de-rating. The stock has re-rated significantly (from ~40x in FY22 to ~60x today), so there is meaningful downside risk if growth disappoints.

BANGLADESH COUNTRY RISK

Bangladesh is ~44% of international revenue. It's also Marico's highest-exposure single country risk. Political instability, currency devaluation (BDT), or regulatory changes in Bangladesh could meaningfully impact international segment growth. FY26 Bangladesh grew 35% CC but this base may be hard to sustain.

ACQUISITION INTEGRATION RISK

Marico made two acquisitions in quick succession (4700BC in Jan 2026, Cosmix in Feb 2026) on top of ongoing work on Beardo, Plix, and Just Herbs. Integration complexity — brand positioning, supply chain, talent — is a real risk. Digital-first brands also require sustained A&P investment before they turn profitable.

PEER COMPARISON

Company	Mkt Cap (₹ Cr)	Rev FY26E	EBITDA Margin	P/E (x)	EV/EBITDA (x)
Marico	~1,09,000	13,611	17.0%*	~58x	~38x
HUL	5,53,000	~62,700	23.40%	~57x	~38x
Nestle India	2,15,000	~22,000	23.70%	~72x	~44x
Dabur India	84,000	~13,200	19.00%	~50x	~33x
Godrej Consumer	1,20,000	~15,000	20.00%	~55x	~36x
Colgate-Palmolive	55,000	~6,200	30.20%	~46x	~28x
Median (Ex-Marico)	—	—	21.50%	~55x	~37x

*FY26 EBITDA margin depressed by copra. Normalised ~18–19%. Marico trades broadly in-line with peer median on P/E.
Source: ValueResearchOnline (May 5-18, 2026), company filings.

MANAGEMENT OUTLOOK

Marico Limited remains well-positioned to benefit from rising rural demand recovery, premiumisation trends, and continued expansion in its digital-first and food portfolios. Management remains focused on driving volume-led growth, improving operating margins through cost efficiencies, and strengthening its international business presence. The company also expects sustained growth from value-added products and innovation-led launches across core categories.

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RATING

BUY

Target Price

₹ 922

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Revenue (FY26)	₹13,611 Cr	EBITDA (FY26)	~₹2,316 Cr
PAT (FY26)	₹1,813 Cr	Dividend FY26	₹6.5/share (total)
EBITDA Margin Q4	15.6%	Shares Outstanding	~129.8 Cr

DATA SOURCES

- Marico Q4 & FY26 Results — Business Standard / Upstox / ADGully (May 5, 2026)
- Quarterly P&L FY26 (Q1–Q4) — AngelOne, Multibagg, BestMediaInfo (Apr–May 2026)
- FY22–FY25 Historical Financials — HDFC Securities Research / Screener.in / Marico Annual Reports
- Share Price & Market Cap — Bajaj Broking, ValueResearchOnline, ICICIDirect (May 18-20, 2026)
- Peer Valuation — ValueResearchOnline.com (May 5-18, 2026)
- FY27 Guidance — Business Standard / InvestyWise (May 5, 2026)

MARICO LIMITED — INCOME STATEMENT MODEL (₹ Crores)

	FY22A	FY23A	FY24A	FY25A	FY26A	FY27E	FY28E	FY29E
Revenue (₹ Cr)	9,512.0	9,764.0	9,653.0	10,831.0	13,611.0	15,244.3	17,226.1	19,293.2
Revenue Growth (%)		2.6%	-1.1%	12.2%	25.7%	12.0%	13.0%	12.0%
Gross Profit (₹ Cr)	4,339.0	4,427.0	4,961.0	5,490.0	7,327.0	8,231.9	9,388.2	10,572.7
Gross Margin (%)	45.6%	45.3%	51.4%	50.7%	53.8%	54.0%	54.5%	54.8%
EBITDA (₹ Cr)	1,681.0	1,810.0	2,026.0	2,291.0	2,316.0	2,774.5	3,273.0	3,762.2
EBITDA Margin (%)	17.7%	18.5%	21.0%	21.2%	17.0%	18.2%	19.0%	19.5%
Depreciation & Amortisation	139.0	155.0	158.0	165.0	185.0	200.0	215.0	230.0
EBIT (₹ Cr)	1,542.0	1,655.0	1,868.0	2,126.0	2,131.0	2,574.5	3,058.0	3,532.2
Other Income	98.0	144.0	142.0	156.0	172.0	185.0	195.0	205.0
PBT (₹ Cr)	1,640.0	1,799.0	2,010.0	2,282.0	2,303.0	2,759.5	3,253.0	3,737.2
Tax Rate (%)	25.2%	25.2%	25.1%	26.0%	25.8%	25.5%	25.5%	25.5%
PAT (₹ Cr)	1,226.7	1,345.7	1,505.5	1,688.7	1,708.8	2,055.8	2,423.5	2,784.2
PAT Margin (%)	12.9%	13.8%	15.6%	15.6%	12.6%	13.5%	14.1%	14.4%
EPS (₹) [129.8 Cr shares]	9.45	10.37	11.60	13.01	13.17	15.84	18.67	21.45
A&P Spend (₹ Cr)	796.0	842.0	952.0	1,131.0	1,300.0	1,430.0	1,600.0	1,750.0

Source: Marico FY26 Results (May 5, 2026) | FY22-FY25: Marico Annual Reports, HDFC Securities, Screener.in |

MARICO — DCF VALUATION MODEL

ASSUMPTIONS

WACC (%)	10.6%	Risk-free 7.2%, ERP 5.5%, Beta 0.61 (low beta defensive FMCG)
Terminal Growth Rate (%)	9.2%	India FMCG long-term growth + international diversification
Projection Years	5.0	FY27E–FY31E
Shares Outstanding (Cr)	129.8	As of FY26
Net Cash (₹ Cr)	1,500.0	Estimated — Marico is net cash positive, no material debt

FREE CASH FLOW PROJECTIONS (₹ Crores)

	FY27E	FY28E	FY29E	FY30E	FY31E
EBITDA (₹ Cr)	2,475.0	2,800.0	3,136.0	3,505.0	3,895.0
Less: D&A	200.0	215.0	230.0	245.0	260.0
EBIT	2,275.0	2,585.0	2,906.0	3,260.0	3,635.0
Less: Tax (25.5%)	580.1	659.2	741.0	831.3	926.9
NOPAT	1,694.9	1,925.8	2,165.0	2,428.7	2,708.1
Add Back: D&A	200.0	215.0	230.0	245.0	260.0
Less: Capex	220.0	240.0	260.0	280.0	300.0
Less: ΔWorking Capital	80.0	90.0	100.0	110.0	120.0
Free Cash Flow (FCFF)	1,594.9	1,810.8	2,035.0	2,283.7	2,548.1
Discount Factor	0.904	0.818	0.739	0.668	0.604
PV of FCF (₹ Cr)	1,442.0	1,480.4	1,504.2	1,526.2	1,539.7

DCF VALUATION SUMMARY

Sum of PV FCFs (₹ Cr)	₹ 7,492.5
Terminal Value (₹ Cr)	₹ 1,20,096.7
Enterprise Value (₹ Cr)	₹ 1,27,589.2
Equity Value (EV + Net Cash) (₹ Cr)	₹ 1,29,089.2
► Intrinsic Value Per Share (₹)	₹995
Upside/(Downside) from CMP ~₹840	18.4%

COMPARABLE COMPANY ANALYSIS — INDIA FMCG

Company	Mkt Cap(₹Cr)	Rev FY26E(₹Cr)	EBITDA Margin	P/E (x)	EV/EBITDA(x)	Notes
Marico ★	₹ 1,09,000.0	₹ 13,611.0	17.0%	58.0x	38.0x	<i>Subject company</i>
HUL	₹ 5,53,000.0	₹ 62,700.0	23.4%	57.0x	38.0x	<i>Largest FMCG; premium personal care</i>
Nestle India	₹ 2,15,000.0	₹ 22,000.0	23.7%	72.0x	44.0x	<i>Food & beverages premium play</i>
Dabur India	₹ 84,000.0	₹ 13,200.0	19.0%	50.0x	33.0x	<i>Closest comparable; Ayurvedic</i>
Godrej Consumer	₹ 1,20,000.0	₹ 15,000.0	20.0%	55.0x	36.0x	<i>Personal care, Africa exposure</i>
Colgate-Palmolive	₹ 55,000.0	₹ 6,200.0	30.2%	46.0x	28.0x	<i>Oral care specialist</i>
Median (Ex-Marico)				55.0x	36.0x	<i>Benchmark</i>

CCA TARGET PRICE

Median Peer P/E	55.0x
Marico FY27E EPS (₹)	16.20
► CCA P/E Implied Price (₹)	₹891